

HOUSE BILL 1034

By Alexander

AN ACT to amend Tennessee Code Annotated, Title 50;
Title 63 and Title 68, relative to covenants not to
compete.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 50, Chapter 1, Part 2, is amended by adding the following as a new section:

Except as otherwise provided in § 63-6-204(f)(2), a restriction on the right of an employee or contractor to practice the employee's or contractor's profession upon termination or conclusion of the employment or contractual relationship is void and unenforceable in this state.

SECTION 2. Tennessee Code Annotated, Section 63-1-148, is amended by deleting the section.

SECTION 3. Tennessee Code Annotated, Section 63-6-204(f)(2)(B), is amended by deleting ", except as allowed by § 63-1-148 or any successor section".

SECTION 4. Tennessee Code Annotated, Section 63-6-204(g)(2), is amended by deleting ", except as allowed by § 63-1-148 or any successor section".

SECTION 5. Tennessee Code Annotated, Section 63-6-204(g)(3), is amended by deleting "Notwithstanding § 63-1-148 or any successor section, in" and substituting instead "In".

SECTION 6. Tennessee Code Annotated, Section 68-11-205(c)(2), is amended by deleting ", except as allowed by § 63-1-148 or any successor section".

SECTION 7. Tennessee Code Annotated, Section 68-11-205(c)(3), is amended by deleting "Notwithstanding § 63-1-148 or any successor section, in" and substituting instead "In".

SECTION 8. Tennessee Code Annotated, Section 68-11-205(f)(2), is amended by deleting "; provided, such restriction complies with 63-1-148".

SECTION 9. This act takes effect July 1, 2025, the public welfare requiring it, and applies to contracts entered into or amended on or after that date.